

Ved Parkash Deal Shows Lender Control, Not Market Recovery, Drives Rent-Stabilized Sales

A forced sale agreement reveals how capital is restructuring ownership of troubled rent-stabilized assets.

What \$60 million reveals

\$60 million

Key figure

It is the 21 he gets to keep

The most important detail in Ved Parkash's deal with Community Stabilization Partners is not the three buildings he agreed to sell. It is the 21 he gets to keep. The lender did not foreclose. It issued an ultimatum: sell three properties, and we will stop foreclosure on all 31. That is not a market transaction.

It is a capital structure decision designed to avoid the cost, delay

It is a capital structure decision designed to avoid the cost, delay, and uncertainty of a full portfolio unwind.

Parkash, a landlord who topped the public advocate's worst landlord list in 2015

Parkash, a landlord who topped the public advocate's worst landlord list in 2015 with 2,200 open housing violations, has agreed to sell a 44-unit building at 1110 Anderson Avenue in the Bronx, an 84-unit complex at 89-20 161st Street in Queens where he defaulted in 2024, and a 79-unit complex on Noble Avenue in the Bronx that has sat empty since a 2023 fire.

The deal reveals the real capital pressure underneath New York's rent-stabilized market

No buyer is in place for any of them, according to Community Preservation Corporation senior vice president Robert Riggs. The deal reveals the real capital pressure underneath New York's rent-stabilized market. Community Stabilization Partners, a joint venture between Community Preservation Corporation and Related Fund Management, took over loans on roughly 35,000 mostly rent-stabilized apartments after Signature Bank collapsed in 2023.

It is a quasi-public capital vehicle with a mandate to stabilize troubled assets, not

The partnership is backed by a \$60 million investment from New York City through municipal pension funds. It is not a typical lender. It is a quasi-public capital vehicle with a mandate to stabilize troubled assets, not maximize recovery. That mandate explains the structure. Rather than foreclose on a portfolio with massive deferred maintenance, code violations, and litigation risk, the lender is buying time.

It will stop foreclosure on 10 buildings and reduce Parkash's loan payments for two years

It will stop foreclosure on 10 buildings and reduce Parkash's loan payments for two years. In exchange, Parkash must fix problems in his remaining 21 buildings, including mold, broken elevators, and crumbling retaining walls. An independent monitor will oversee repairs. The lender is not betting on Parkash. It is betting that controlled, supervised operations will preserve more value than a fire sale. The two-year payment reduction is not a gift.

The city avoids a sudden loss of affordable housing units

It is a liquidity bridge designed to keep the buildings generating cash flow while the lender works out a longer-term exit. Who benefits? The lender avoids the cost and reputational risk of taking title to a portfolio of distressed rent-stabilized buildings. The city avoids a sudden loss of affordable housing units. Parkash avoids foreclosure and retains control of 21 buildings, albeit under supervision.

The tenants in the 10 buildings where foreclosure was stopped get a chance at repairs

The tenants in the 10 buildings where foreclosure was stopped get a chance at repairs, though the track record suggests skepticism is warranted. Who is exposed? The buyers who eventually acquire the three buildings for sale. They will inherit assets with known physical and operational problems, no guarantee of tenant income, and a regulatory environment that increasingly favors nonprofit and community-based ownership.

The deal fits a pattern emerging across New York's rent-stabilized market

The city's pension funds, which back the lender, are exposed to the performance of a portfolio that was already distressed when Signature Bank failed. The deal fits a pattern emerging across New York's rent-stabilized market. The Mamdani administration is actively working to move struggling buildings into the hands of nonprofits and community groups. That policy preference creates a buyer class, but it does not create market demand.

It is a sign that even at a distressed basis, the market is waiting for more clarity

The three buildings Parkash is selling have no buyer yet. That is not a sign of liquidity. It is a sign that even at a distressed basis, the market is waiting for more clarity on operating costs, rent regulation, and capital requirements. Lender control, not market recovery, is driving rent-stabilized asset sales. The capital that is moving is not speculative. It is defensive.

The next phase of this market will not be defined by who buys the best story

The next phase of this market will not be defined by who buys the best story. It will be defined by who can operate the hardest assets without losing money.

Why it matters

The deal reveals the real capital pressure underneath New York's rent-stabilized market.

LIGHT TOWER GROUP
